

Risk-Parity Portfolio Commentary Report

Report Scope

- **Source:** risk parity portfolio/commentary.txt
- **Portfolio type:** Risk-Parity
- **Commentary basis:** summary metrics and stress status from the source text

Executive Summary

- Risk-Parity portfolio shows a more defensive profile with **CAGR 11.211%** and volatility **9.844%**.
- Market sensitivity is lower (**Beta 0.602**) and historical max drawdown is slightly softer than aggressive alternatives.
- Stress testing still fails under equity shock, which remains the principal downside issue.

Core Metrics Interpretation

Metric	Value	Interpretation
CAGR	11.211%	Moderate long-run growth profile
Volatility	9.844%	Lower total portfolio turbulence
Max Drawdown	-18.745%	Slightly softer historical downside depth
Sharpe	0.910	Good, but not top-tier total-risk efficiency
Sortino	1.471	Acceptable downside-adjusted efficiency
Beta	0.602	Defensive market sensitivity
Corr_base	0.000	No valid diversification inference from this field

Risk Structure

- RC decomposition by blocks/assets is absent in this source.
- Beta below one with stress fail implies residual vulnerability to abrupt equity shocks.

Strengths

- Lower volatility with retained double-digit CAGR.
- Lower beta and slightly softer drawdown profile.
- Historical MaxDD gate status is passed.

Weaknesses

- Stress test result is **FAIL_STRESS (FAIL_ROLE_EQUITY_SHOCK)**.
- Sharpe/Sortino are lower than more return-oriented constructions.
- Limited diversification transparency due to missing RC/correlation breakdown.

Scenario Behavior

- Portfolio is positioned for steadier behavior in normal market regimes.
- Equity-shock regime remains a binding weakness under the reported stress framework.

Conclusion / Key Takeaways

- Risk-Parity construction improves stability metrics but does not eliminate equity-shock risk.
- Trade-off remains clear: calmer risk path for lower upside versus unresolved stress vulnerability.